STUDYHUB

CLASS 12 – MP BOARD

ECONOMICS — SET 2

ORIGINAL SAMPLE QUESTION PAPER

Time: 3 Hours   Maximum Marks: 80
English Medium | Set 2

"Note: This is an original StudyHub practice paper based on the MPBSE syllabus and examination pattern. It is not an official MPBSE paper."

GENERAL INSTRUCTIONS

1. All questions are compulsory.
2. Questions 1 to 5 are objective-type questions.
3. Questions 6 to 15 carry 2 marks each.
4. Questions 16 to 19 carry 3 marks each.
5. Questions 20 to 23 carry 4 marks each.
6. Internal choices are provided from Question 6 to Question 23.
7. Show all necessary calculations in numerical questions.
8. Draw diagrams wherever necessary.

SECTION – A
OBJECTIVE TYPE QUESTIONS

Q.1 Choose the correct option. 1×6=6

(a) The study of economy as a whole is called:

A. Microeconomics
B. Macroeconomics
C. Managerial Economics
D. Business Economics

(b) When the price of a commodity increases, its quantity demanded generally:

A. Increases
B. Decreases
C. Remains constant
D. First increases and then decreases

(c) Which of the following is a component of aggregate demand?

A. Consumption expenditure
B. Savings only
C. Taxes only
D. Imports only

(d) Which of the following is a direct tax?

A. GST
B. Excise Duty
C. Income Tax
D. Customs Duty

(e) When exports are greater than imports, the Balance of Trade is:

A. Unfavourable
B. Favourable
C. Balanced
D. Zero

(f) Which institution regulates the monetary system in India?

A. SEBI
B. RBI
C. NABARD
D. NITI Aayog

Q.2 Fill in the blanks. 1×6=6

(i) The satisfaction obtained from consumption of a commodity is called ______.

(i) The additional output produced by using one additional unit of a variable factor is called ______ product.

(i) The income earned by factors of production is called ______ income.

(i) The central bank of India is the ______.

(i) A budget in which estimated receipts are equal to estimated expenditure is called a ______ budget.

(i) The price of one country's currency in terms of another country's currency is called the ______ rate.

Q.3 Write True or False. 1×6=6

(i) Marginal utility is the change in total utility due to consumption of one additional unit.

(i) Supply and price generally have an inverse relationship.

(i) National income is a flow concept.

(i) Commercial banks accept deposits from the public.

(i) Fiscal policy is formulated by the central bank.

(i) Devaluation can be used under a fixed exchange rate system.

Q.4 Match Column A with Column B. 1×7=7

Column A	Column B
(i) Marginal Utility	(a) Government borrowing
(ii) Average Product	(b) Additional satisfaction
(iii) Fiscal Deficit	(c) Output per unit of variable factor
(iv) Bank Rate	(d) Rate charged by central bank
(v) GST	(e) Indirect tax
(vi) Devaluation	(f) Reduction in official value of currency
(vii) Current Account	(g) Goods, services and transfers

Q.5 Answer in one word/one sentence. 1×7=7

(i) What is utility?

(i) What is meant by opportunity cost?

(i) What is per capita income?

(i) What is a commercial bank?

(i) What is revenue expenditure?

(i) What is a trade surplus?

(i) What is meant by flexible exchange rate?

SECTION – B
SHORT ANSWER QUESTIONS

Q.6 State any two features of a production possibility curve.

OR

Q. What is meant by scarcity? Why does it create an economic problem?

Q.7 Distinguish between normal goods and inferior goods.

OR

Q. State any two factors affecting the demand for a commodity.

Q.8 What is meant by law of variable proportions?

OR

Q. Distinguish between average product and marginal product.

Q.9 What is meant by perfect competition? State any one characteristic.

OR

Q. What is monopoly? State any one characteristic of monopoly market.

Q.10 What is national product? State its main components.

OR

Q. Differentiate between gross investment and net investment.

Q.11 What is factor income? Name any two factor incomes.

OR

Q. What is transfer income? Give two examples.

Q.12 State any two functions of money other than medium of exchange.

OR

Q. What is meant by high-powered money?

Q.13 What is meant by public expenditure? State any one objective of public expenditure.

OR

Q. Differentiate between revenue expenditure and capital expenditure.

Q.14 What is a current account deficit?

OR

Q. Differentiate between appreciation and depreciation of currency.

Q.15 What is aggregate supply? State its relationship with national income.

OR

Q. What is meant by deficient demand?

SECTION – C
SHORT ANSWER QUESTIONS

Q.16 Explain any three factors affecting the price elasticity of demand.

OR

Q. Explain any three causes of a rightward shift in the demand curve.

Q.17 From the following data, calculate NDP at Factor Cost:
GDP at Market Price = ■1,200 crore
Consumption of Fixed Capital = ■100 crore
Net Indirect Taxes = ■150 crore

OR

Q. Calculate GDP at Market Price:
NDP at Factor Cost = ■900 crore
Consumption of Fixed Capital = ■100 crore
Net Indirect Taxes = ■120 crore.

Q.18 Explain any three functions of commercial banks.

OR

Q. Explain any three quantitative methods used by the central bank for credit control.

Q.19 Explain any three sources of government revenue.

OR

Q. Explain any three causes of fiscal deficit.

SECTION – D
LONG ANSWER / NUMERICAL QUESTIONS

Q.20 Explain the Law of Demand with the help of a demand schedule and demand curve.

OR

Q. Explain any four exceptions to the law of demand.

Q.21 Calculate National Income from the following data:
Compensation of Employees = ■700 crore
Operating Surplus = ■450 crore
Mixed Income = ■250 crore
Net Factor Income from Abroad = ■50 crore

OR

Q. Calculate NNP at Factor Cost:
NNP at Market Price = ■1,500 crore
Net Indirect Taxes = ■200 crore.

Q.22 Explain any four instruments of monetary policy used by the Reserve Bank of India.

OR

Q. Explain any four functions of money.

Q.23 Explain the meaning of government budget and its four major objectives.

OR

Q. Explain any four differences between Revenue Deficit and Fiscal Deficit.

MARKS VERIFICATION

Questions	**Marks**
Q.1	6
Q.2	6
Q.3	6
Q.4	7
Q.5	7
Q.6–Q.15	20
Q.16–Q.19	12
Q.20–Q.23	16
TOTAL	**80**

■ 6 + 6 + 6 + 7 + 7 + 20 + 12 + 16 = 80 Marks

SHORT ANSWER KEY

Q.1: B, B, A, C, B, B

Q.2: Utility; marginal; factor; RBI; balanced; exchange

Q.3: True, False, True, True, False, True

Q.4:
(i)–(b)
(ii)–(c)
(iii)–(a)
(iv)–(d)
(v)–(e)
(vi)–(f)
(vii)–(g)

Q.17:
NDP at Factor Cost = ■950 crore
GDP at Market Price = ■1,120 crore

Q.21:
National Income = ■1,450 crore
NNP at Factor Cost = ■1,300 crore

Note: Numerical answers should include the appropriate formula and working. Equivalent correct answers should be accepted for descriptive questions.